

Legal Entity Structuring Proposal — TrueSight DAO

Prepared: 2026-06-22 | **Context:** SVH Capital cacao circle — June 26

The Problem

Three signals turning from grey to red:

Signal	Why
No DAO legal wrapper	No member liability shield, no clear answer for "what entity do TDG holders govern?"
No impact fund channel	Impact funds, foundations, corporate ESG have no entity to write checks to
Personal bank account	Gary's personal account is the bottleneck — more volume = more personal risk

The Solution

Form a Wyoming UNA via OtoCo this week. Cost: ~\$50 gas.

That's it. The UNA is a legal entity with:

- Liability protection for members
- A clear answer for TDG holders: "you govern the UNA"
- A counterparty for impact funds to write checks to
- No bank account needed — TrueTech Inc handles all money flows

The Structure

Wyoming UNA (nonprofit, DAO legal wrapper) — formed this week for ~\$50

- No bank account needed — TrueTech Inc handles all money flows
- TDG holders govern the UNA (pseudonymous — wallet only)
- Contractual relationship with TrueTech Inc

TrueTech Inc (Delaware C-corp, independent entity)

- Own cap table and shareholders (Gary)
- Own bank account (ALL money flows: commercial, partner contributions, buybacks)
- May buy back TDG at NAV using operating cash reserves (discretionary)
- Buyback reserve formula published on truesight.me

Key decisions (already resolved)

- TrueTech Inc: Independent entity, not a DUNA subsidiary. Avoids UBIT.
- Bank accounts: One account — TrueTech Inc handles everything. UNA doesn't need its own.
- TDG buyback: TrueTech may buy back at NAV using operating cash. Formula on truesight.me. Discretionary, not guaranteed.
- Wise: Primary banking platform. Handles standard transfers + PIX. Venmo/Zelle/Western Union executed manually.
- Withdrawal flow: Member submits DApp request to TrueTech issues cash to TDG deducted from ledger to burned

What We're Doing This Week

Action	Cost	Timeline
Form UNA via OtoCo (2 wallets sign)	~\$50 gas	1 day
Open TrueTech Inc Wise Business account	\$0-500	1-2 days

Total cost: ~\$50-550. We have ~\$4,126 in the Main Ledger.

The One Question for SVH Capital

"We're forming a Wyoming UNA via OtoCo this week. TDG is issued to contributors for work (cacao logistics, contribution scoring, development, onboarding) and grants governance rights. It is not a financial security or profit-sharing instrument. Does this pass the Howey Test?"

That's it. The structure is resolved. We just need a narrow legal opinion on whether TDG is a security.

What We're NOT Doing (Yet)

Thing	Why Not	When
UNA bank account	TrueTech Inc handles all money flows. No need.	Only if impact fund capital requires separate home
501(c)(3) application	Costs \$2K-10K. Not needed yet.	6-12 months
Brazilian CNPJ ownership	Costs \$1K-3K. Matheus's private CNPJ works.	Future
DUNA formation	Requires 100+ members by mutual consent. UNA works.	When eligible

Thing	Why Not	When
Multi-entity accounting	\$2K-5K/yr. Not needed at current scale.	When revenue grows

Prepared by Sophia Truesight (admin+sophia@truesight.me) — TrueSight DAO Autopilot